

Japan Daily Brief

Tuesday, September 29, 2026

1,893 words · 8 min read

RE: BOJ Oct hike debate intensifies · China presses Japan on Taiwan · Extra Diet session set · Okinawa gov exits · Yen diplomat warns

NIKKEI 225
65,481.27
▲ +0.71%

USD/JPY
157.26
▼ -0.13%

BRENT
\$97.23
▼ -8.79%

BOJ RATE
1.25%

• TOP STORIES

ECONOMY-BOJ

BOJ July minutes show hawkish tilt: members backed faster rate hikes; October decision now live

Minutes from the Bank of Japan's July policy meeting show board members explicitly called for faster rate hikes to anchor the 2% inflation target, pushing market speculation toward a consecutive October move with the policy rate currently at 1.25%. Japan's service inflation simultaneously hit an over two-year high, per data reported alongside the minutes release.

NHK

CHINA-JAPAN

Top Chinese diplomat tells ex-Japanese foreign minister ties must be 'normalized'

China's top diplomat told former Japanese Foreign Minister **Takeshi Iwaya** during talks that bilateral ties must be 'normalized,' while separately urging Japan to 'correct erroneous words and deeds' of its leaders on Taiwan — timed to the 54th anniversary of Japan-China diplomatic normalization. Beijing's dual-track pressure — via Wang Yi-level diplomacy and state media — continues the campaign launched after PM Takaichi's UNGA statements on Taiwan.

THE JAPAN TIMES

DEFENSE

Japan defense chief again puts 'nuclear taboo' in spotlight

Defense Minister **Shinjiro Koizumi** reiterated Tuesday that Japan must possess the capabilities to counter threats directed at it, placing the 'nuclear taboo' back in public debate ahead of the extraordinary Diet session. The statement comes as North Korea has declared its nuclear status 'irreversible' and as Japan's counterstrike capability buildup continues under the Three Strategic Documents framework.

THE JAPAN TIMES

POLITICS-DIET

Okinawa Gov. Tamaki leaves office at end of 8-year tenure

Okinawa Governor **Denny Tamaki** formally left office Tuesday after an eight-year tenure, stating the prefecture's excessive base-hosting burden consumed 'close to 70%' of his work and voicing concern the burden will continue to increase. A ruling-camp-backed candidate won the Okinawa gubernatorial election earlier in September, shifting the prefecture's posture toward Tokyo on the Henoko relocation issue.

MAINICHI

ALLIANCE

White House Summit Document Calls US and China WWII Allies, Stirring Concern in Tokyo

The joint document from the Trump-Xi Washington summit refers to the United States and China as WWII allies, drawing concern in Tokyo about historical framing even as the same document reaffirms the free and open Indo-Pacific concept associated with former PM Shinzo Abe. PM Takaichi received what she described as a 'detailed' briefing from President Trump on the Xi summit.

JAPAN FORWARD

• STAT OF THE DAY

29.4%

Share of Japan's population aged 65+, 2025 census (record high)

Finalized 2025 census results released Tuesday show Japan's elderly share at a record, with population down 3.17 million and the vote-weight disparity between constituencies reaching 2.275-to-1.

Japan elderly population hits fresh high at 29.4%: 2025 census — Mainichi

• JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · TUESDAY, SEPTEMBER 29, 2026

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

防衛省 · MINISTRY OF DEFENSE · *Defense Minister Shinjiro Koizumi*

Koizumi orders conclusion of Japan's first overseas firefighting mission in Indonesia

Defense Minister **Shinjiro Koizumi** said Tuesday he has ordered Japanese Self-Defense Force troops to conclude their firefighting operations in Indonesia, ending the SDF's first-ever overseas firefighting mission. The MOD separately posted notice of the conclusion of the international emergency relief activity.

→ Mainichi ↗

防衛省 · MINISTRY OF DEFENSE

MOD hosts Mongolia's Defense Minister; next UK Ambassador visits ministry

The Ministry of Defense received a visit from Mongolia's Defense Minister and separately hosted the incoming UK Ambassador to Japan, per official MOD press releases dated September 29.

防衛省 · MINISTRY OF DEFENSE

Japan-US Joint Committee agreement posted

The MOD published the outcome of a Japan-US Joint Committee agreement on September 29, per the official press release. Substantive details of the agreement were not available in today's source articles.

外務省 · MINISTRY OF FOREIGN AFFAIRS

Japan partially lifts sanctions on Syria, unfreezing assets tied to al-Assad-era entities

MOFA announced a partial lifting of asset-freezing measures that had been imposed on Syrian President al-Assad and related individuals and entities, per the official MOFA notice. NHK World reported the move Tuesday morning.

→ MOFA ↗

PERSONNEL CHANGES

Kishida (given name not provided in source articles) RESIGNED

President/CEO, Nidec Corporation
Nidec's president is set to resign following an accounting scandal and losses at the company's e-axle EV drive unit, which generated an impairment loss exceeding \$3.8 billion. The technology head has been selected as successor.

Yuko Fujigaki APPOINTED

President, University of Tokyo
Yuko Fujigaki, 64, became the University of Tokyo's first female president, vowing at a news conference to restore trust in the 150-year-old institution following a recent scandal.

DIET SESSIONS / LDP

CABINET / BOTH HOUSES

Extraordinary Diet session formally scheduled to open next Monday, October 5

Prime Minister Sanae Takaichi's Cabinet formally decided Tuesday to convene an extraordinary Diet session beginning Monday, October 5. The LDP's money-scandal fallout is expected to complicate floor management, with opposition parties primed to press the government on the issue at the opening.

LDP / COALITION

LDP's Upper House faction chair calls for 'serious' coalition talks with DPP ahead of Diet session

The chair of the LDP's Upper House caucus publicly called for serious coalition-level communication with the Democratic Party for the People (DPP), framing the discussions with an eye toward coalition expansion before the extraordinary session opens.

• PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
Asahi · Sep 28, 2026	51%	33%
ANN · Sep 23, 2026	58.3%	27.6%
Kyodo · Sep 23, 2026	53.4%	30.9%

Nikkei · Sep 5, 2026 · 24d ago

62%

33%

Yomiuri · Sep 19, 2026

59%

30%

FNN · Sep 15, 2026

61.6%

32.2%

NHK · Sep 10, 2026

52.8%

30.8%

JNN · Sep 7, 2026 · 22d ago

62.5%

34.9%

Discourse: The LDP money-scandal fallout resurfaces ahead of the October 5 extraordinary Diet session, with opposition parties expected to use it as a sustained line of attack; the JIP's conditional coalition support adds additional uncertainty to floor management.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

• BUSINESS & ECONOMY

FINANCE · BLOOMBERG

Japan 40-year bond sale sees strongest demand since 2020

Japan's 40-year government bond auction recorded the strongest demand since 2020, per Bloomberg, a development that intersects with rising BOJ rate-hike expectations and the government's need to finance its expanded defense and social spending programs.

AUTO · FT · TOYOTA

Toyota's China sales tumble as high fuel prices deter buyers

Toyota's sales in China have tumbled in a prolonged slump in the world's biggest auto market, driven partly by high fuel prices deterring buyers and intensifying competition from domestic Chinese EV brands. The decline compounds Nidec's EV writedown in a difficult week for Japanese manufacturers' China exposure.

SEMICONDUCTORS · NIKKEI ASIA · RESONAC

Resonac develops large wafers yielding four times as many chips

Japan's Resonac has developed larger semiconductor wafers capable of yielding *four times* as many chips per wafer, a materials breakthrough with direct implications for Japan's domestic chip supply ambitions under the Rapidus and JASM Kumamoto programs.

AUTO · NIKKEI ASIA · TOYOTA

Looming EU 'Made in EU' bill threatens Toyota and other Japanese EV makers

A forthcoming EU legislative requirement for EV local content — the 'Made in EU' bill — threatens market access for Toyota and other Japanese automakers that manufacture EVs outside Europe, adding a new trade-policy headwind alongside US tariff pressures.

TECH · NIKKEI ASIA · NTT, SOFTBANK

NTT and SoftBank eye AI cybersecurity systems designed to keep data within Japan

NTT and SoftBank are developing AI-powered cybersecurity systems architected to keep sensitive data inside Japan, reflecting both the government's economic security framework and growing enterprise concern over cross-border data flows.

REGIONAL PRESSURE WATCH

Normal — 14 items

CHINA

China's top diplomat told former Japanese Foreign Minister **Takeshi Iwaya** during Beijing talks that Japan-China ties must be 'normalized,' while simultaneously — on the 54th anniversary of diplomatic normalization — demanding Japan 'correct erroneous words and deeds' on Taiwan. Global Times and Xinhua also published pieces framing Japan's defense posture as revived militarism and rebuking Tokyo's UNGA push to remove UN Charter 'enemy state' clauses.

NORTH KOREA

NHK World reported Tuesday that North Korea has reiterated its position that its nuclear state status is 'irreversible,' continuing the pattern of declaratory defiance of the US-Japan-ROK trilateral denuclearization push documented across the past week.

RUSSIA

Chief Cabinet Secretary Kihara formally rejected Russian Foreign Minister Lavrov's UNGA claim that Japan is on a path to militarization, with Mainichi and JIJ both reporting the Tuesday morning rebuttal. Russia's posture of linking Japan's defense buildup to militarism accusations continues.

Senkaku / ECS: No new China Coast Guard intrusion or patrol-day data reported in today's articles; the standing pattern of near-daily CCG presence in the contiguous zone carries forward from prior days.

"correct erroneous words, deeds of its leaders on Taiwan question"

Chinese top diplomat (unnamed in source) · China's top diplomat urges Japan to correct erroneous words, deeds of its leaders on Taiwan question — Global Times

Bottom line: Beijing is running a two-track pressure campaign on Tokyo — diplomatic (Iwaya talks) and public (54th-anniversary normalization messaging) — centered on Taiwan and the 'enemy state' clauses debate; no new kinetic or ECS escalation is reported today, but the sustained rhetorical pressure from all three adversaries continues.

• U.S.-JAPAN RELATIONS

BASING · XINHUA

Okinawan town protests planned indefinite storage of US Typhon missile system

A town in Okinawa has formally protested the planned storage of the US Army's Typhon intermediate-range missile system, per Xinhua, continuing local-level opposition to the indefinite deployment announced in recent weeks. The Typhon storage has drawn simultaneous objections from Beijing and Moscow, both framing it as evidence of Japanese remilitarization.

ALLIANCE · JAPAN TIMES

Takaichi says Trump gave her 'detailed' briefing on US-China summit

PM **Sanae Takaichi** disclosed that President Trump provided her with a 'detailed' briefing on his summit with Xi Jinping, per Japan Times, following a telephone call between the two leaders. The disclosure underscores Tokyo's effort to remain closely looped into US-China dialogue on issues directly affecting Japan's security calculus.

• INDO-PACIFIC PARTNERS

KOREA-JAPAN · YONHAP

South Korea and Japan chief financial regulators agree on further cooperation

South Korea's and Japan's chief financial regulators met and agreed to deepen cooperation, per Yonhap, in a bilateral financial regulatory channel that sits alongside the broader Korea-Japan normalization track.

SOUTHEAST ASIA · NIKKEI ASIA

Japan's Aeon pins growth hopes on Vietnam as its next major Southeast Asian market

Retailer **Aeon** is positioning Vietnam as the driver of its next phase of Asian expansion, per Nikkei Asia, deepening Japan's economic footprint in a Southeast Asian market that Tokyo has been cultivating as an alternative production and consumer hub.

KOREA-JAPAN · KOREA HERALD

Shinhan eyes Korea-Japan cooperation in climate and digital finance

South Korea's Shinhan Financial Group is actively exploring Korea-Japan cooperation frameworks in climate finance and digital finance, per the Korea Herald, reflecting growing private-sector interest in bilateral financial ties alongside the regulatory-level cooperation.

QUAD · INDOPACOM

Kentucky Air National Guard engineers conduct capability-enhancement activities in Japan

Kentucky Air National Guard engineers are conducting activities in Japan to enhance global capabilities, per INDOPACOM, part of the persistent US forward-presence and interoperability programming across USFJ installations.

• UPCOMING

Oct
2

Typhoon Surigae may approach eastern Japan including Tokyo

Kyodo News reports Typhoon Surigae may approach eastern Japan, including Tokyo, on Thursday October 2, raising disruption risk ahead of the Diet session.

Oct
5

Extraordinary Diet session opens

PM Takaichi's Cabinet formally scheduled the extraordinary session to begin Monday, October 5. Intelligence reform legislation and the LDP money-scandal fallout are expected to dominate early floor proceedings.

Oct
29

Bank of Japan monetary policy meeting (October — estimate)

BOJ July minutes and multiple analyst sources flag an October rate decision as a live event; the October meeting is the next opportunity for a consecutive hike given the hawkish July minutes and above-trend service inflation.

Nov
3

Culture Day (文化の日)

The 1946 constitution was promulgated on this date.

Nov
30

PM Takaichi's three-nation diplomatic tour (preparations underway, dates TBC)

Preparations are underway for a PM tour covering three nations over the next two months; a Bangladesh report cites possible stops including Türkiye and Saudi Arabia, with Japan-side visits also under discussion. Specific dates have not been confirmed.

CSIS Japan Chair

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